



United States
Attorney's Office
District of New Jersey



Owner of New Jersey Businesses Sentenced to 41 Months in Prison for Fraudulently Obtaining over \$3.2 Million in Paycheck Protection Program Loans

Wednesday, September 17, 2025

For Immediate Release

U.S. Attorney's Office, District of New Jersey

TRENTON, N.J. – An owner of several New Jersey businesses was sentenced yesterday to 41 months in prison for fraudulently obtaining over \$3.2 million in federal Paycheck Protection Program (PPP) loans, Acting U.S. Attorney and Special Attorney Alina Habba announced.

Daniel Dadoun, 49, of Israel, formerly of South Plainfield, New Jersey, pleaded guilty before U.S. District Judge Robert Kirsch in Trenton federal court on April 8, 2025, to an Information charging him with bank fraud and money laundering. U.S. District Judge Robert Kirsch imposed the sentence yesterday in Trenton federal court.

According to documents filed in this case and statements made in court:

From April 2020 through August 2022, Dadoun engaged in a scheme to illegally obtain over \$3.2 million in PPP loans for his New Jersey businesses by submitting false and fraudulent loan applications. After receiving the PPP loan proceeds, Dadoun sought to keep the money by submitting false and fraudulent PPP loan forgiveness applications that misrepresented payroll expenses and the number of employees working at his companies. In support of the loan and loan forgiveness applications, Dadoun submitted falsified tax documents and altered bank statements.

In addition to the prison term, Judge Kirsch sentenced Dadoun to three years' supervised release and ordered restitution of \$3,239,773.

Acting U.S. Attorney and Special Attorney Habba credited special agents of Homeland Security Investigations Newark, under the direction of Special Agent in Charge Michael S. McCarthy, special agents of IRS – Criminal Investigation, New York Field Office, under direction of Special Agent in Charge

Harry T. Chavis, Jr., special agents of the Social Security Administration – Office of the Inspector General, Boston New York Field Division, under the direction of Special Agent in Charge Amy Connelly, and special agents of the U.S. Attorney’s Office for the District of New Jersey, under the direction of Special Agent in Charge Thomas Mahoney, with the investigation leading to the sentencing.

The government is represented by Assistant U.S. Attorney Katherine M. Romano of the U.S. Attorney’s Office Health Care Fraud Unit in Newark.

The District of New Jersey COVID-19 Fraud Enforcement Strike Force is one of five strike forces established throughout the United States by the U.S. Department of Justice to investigate and prosecute COVID-19 fraud. The strike forces focus on large-scale, multi-state pandemic relief fraud perpetrated by criminal organizations and transnational actors. The strike forces are interagency law enforcement efforts, using prosecutor-led and data analyst-driven teams designed to identify and bring to justice those who stole pandemic relief funds.

Anyone with information about allegations of attempted fraud involving COVID-19 can report it by calling the Department of Justice’s National Center for Disaster Fraud Hotline at 866-720-5721 or via the NCDF Web Complaint Form at: <https://www.justice.gov/disaster-fraud/ncdf-disaster-complaint-form>.

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Defense counsel: Anthony J. Pope, Jr., Esq.

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Topic

HEALTHCARE FRAUD

Component

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